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ILMIY MAQOLA

EXTERNAL DEBT SUSTAINABILITY IN UZBEKISTAN

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ANNOTATSYA

Mazkur tadqiqot 2019-yildan 2025-yil I choragigacha boʻlgan davrda Oʻzbekistonning davlat tashqi qarzi dinamikasi, tuzilishi va barqarorligini tahlil qiladi. Tadqiqotda makroiqtisodiy tendensiyalar, qarzning tarkibi kabi koʻrsatkichlar baholandi. Nominal tashqi qarz 2019-yildagi 17,8 mlrd AQSh dollaridan 2025-yil I choragiga kelib 35,6 mlrd AQSh dollarigacha oshganiga qaramay, qarzning YaIMga nisbati iqtisodiy oʻsish sur’atlarining yuqoriligi va xalqaro zaxiralarning ortishi hisobiga nisbatan barqaror saqlanib qoldi.

KALIT SOʻZLAR: *External public debt, debt sustainability, macroeconomic stability, fiscal deficit, foreign exchange risk, Central Asia, Uzbekistan, public investment, sovereign credit rating.*

1. INTRODUCTION

External borrowing plays a critical role in financing development in emerging economies. For reform-oriented countries such as Uzbekistan, external debt has served as an instrument to speed up the process of infrastructure modernization, energy reform, and social sector development.

Between 2019 and Q1 2025, Uzbekistan experienced rapid economic expansion alongside a substantial increase in public borrowing. While nominal debt levels rose significantly, macroeconomic indicators such as GDP growth, reserve accumulation, and fiscal reforms have contributed to maintaining relative debt sustainability.

This article investigates the following research questions:

1. How has Uzbekistan’s external public debt evolved structurally and quantitatively?
2. To what extent is the current debt trajectory sustainable?
3. What macroeconomic and institutional factors influence debt risk?

The objective is to provide an academically grounded assessment of Uzbekistan’s external debt position within both domestic and regional contexts.

1.1 Analysis of literature on the topic

Debt sustainability theory traditionally links government borrowing capacity to growth performance, fiscal discipline, and external balance stability. For emerging markets, external debt poses additional risks due to exchange rate exposure and dependence on foreign capital flows.

The IMF’s Debt Sustainability Framework emphasizes:

- Debt-to-GDP ratio thresholds,
- Debt service-to-exports ratios,
- Reserve adequacy indicators,
- Sensitivity to macroeconomic shocks.

UNCTAD classifies external debt using three approaches: currency denomination, creditor residence, and jurisdiction of issuance. Recent literature suggests that currency exposure is particularly critical in economies with partially flexible exchange rate regimes.

Empirical research on Central Asia indicates that countries with diversified creditor structures and strong reserve buffers demonstrate greater resilience to external shocks.

This study contributes to the literature by providing an updated and comprehensive empirical review of Uzbekistan's external debt structure up to Q1 2025, incorporating sovereign rating developments and sectoral debt allocation.

2. RESEARCH METHODOLOGY

The study uses a mixed quantitative and institutional analysis approach.

Data sources:

1. Ministry of Economy and Finance of Uzbekistan
2. Central Bank of Uzbekistan
3. IMF Article IV Reports
4. World Bank Economic Updates
5. UNCTAD methodological guidelines
6. Sovereign rating agency reports (Fitch, S&P, Moody's)

Analytical methods:

1. Descriptive statistical analysis of debt dynamics (2019–Q1 2025).
2. Debt-to-GDP and per capita debt ratio analysis.
3. Structural composition analysis (creditor, currency, sectoral allocation).
4. Comparative regional analysis with Central Asian economies.
5. Risk assessment using macro-fiscal indicators (inflation, fiscal deficit, reserves, exchange rate).

The research relies on official, periodically published data to ensure consistency and comparability.

3. RESEARCH METHODOLOGY

Global public debt reached over USD 100 trillion in 2024, equal to about 93–95% of global GDP, and is expected to reach 100% by 2030. Developing countries hold around USD 31 trillion of this total and spent USD 921 billion on interest payments in 2024. On average, they now spend about 6.3 – 6.5% of their export revenue on external debt service, with some nations allocating over 10% — often exceeding their health and education budgets.

Let's look into the TOP 10 countries with the highest government debt in 2025. In 2025, the United States has the highest government debt in the world at USD 32.9 trillion, which is 118.73% of its GDP. Each person in the USA carries about USD 98,204 in debt. Japan has the highest debt-to-GDP ratio at 256.3%, even though its total debt is lower than the USA. China comes second in total debt with USD 15 trillion, but its debt per person is much lower at USD 10,630.

European countries like the United Kingdom, France, and Italy also have high debt levels, with debt per capita around USD 50,000. India has a lower total debt compared to these countries, but also the lowest debt per person — just USD 2,060. Germany has the lowest debt-to-GDP ratio on the list at 62.9% (*Table 1*).

Table 1. TOP 10 countries with the highest government debt in 2025.

#	Country name	External debt	Debt as % of GDP	Debt per capita
1	United States	32.9 trillion	118.73%	98,204
2	China	15 trillion	84.38%	10,630
3	Japan	10.9 trillion	256.3%	87,547
4	United Kingdom	3.4 trillion	99.97%	50,402
5	France	3.4 trillion	109.9%	49,037
6	Italy	3.1 trillion	134.8%	52,501
7	India	3 trillion	83.02%	2,060
8	Germany	2.8 trillion	62.9%	33,994
9	Canada	2.3 trillion	107.5%	57,436
10	Brazil	1.8 trillion	84.68%	8,694

Unit: USD

Overall, while some countries have very high total debt, others carry a heavier burden relative to their economy or population.

The country with the highest debt in the world is unquestionably the United States, whose national debt is more than twice that of any other country. However, the dollar amount of a country's debt is usually considered not by itself, but in relation to the country's overall gross domestic product (GDP) — which represents the country's ability to pay back the debt. Measuring by debt-to-GDP ratio, Lebanon's debt is the highest in the world (*Table 2*).

Table 2. Top 10 countries with the highest external debt, measuring by debt-to-GDP ratio

#	Country name	Debt as % of GDP
1	Lebanon	357.69%
2	Japan	256.3%
3	Sudan	189.6%
4	Eritrea	179.66%
5	Singapore	174.84%
6	Greece	163.9%
7	Argentina	155.41%
8	Italy	134.8%
9	Venezuela	133.61%
10	Cape Verde	124.03%

Several factors contribute to these high debt levels, including the aftermath of the COVID-19 pandemic, economic slowdowns, and ongoing geopolitical instability. Many countries are grappling with increased spending on social programs, infrastructure projects, and defense, while also facing rising interest payments on existing debt. The need for fiscal prudence and structural reforms to boost growth is highlighted as a key challenge for many advanced economies.

3.1 Dynamics of external debt

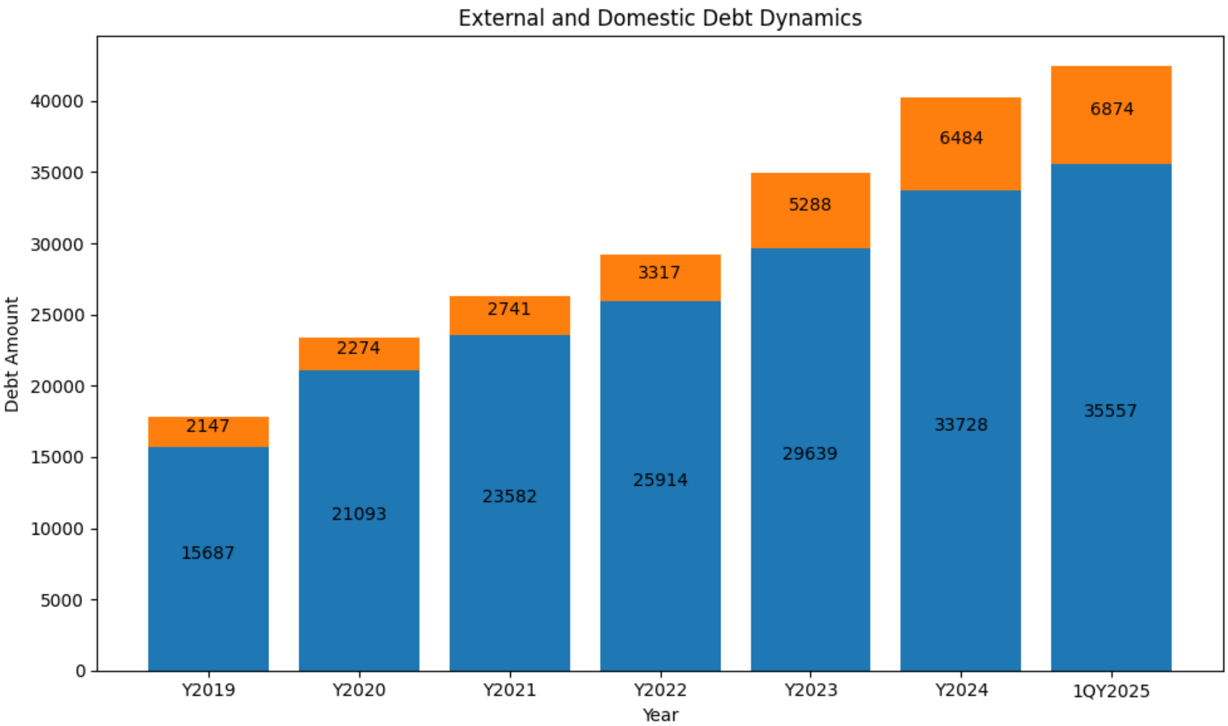

Figure 1. Dynamics of external debt of Uzbekistan (in USD million)

Between 2022 and Q1 2025, Uzbekistan's total government debt climbed from USD 29.2 billion to USD 42.4 billion, bringing the debt-to-GDP ratio to roughly 35% by end-2024. This trend reflects the government's strategic use of borrowing to support public investment and social programs.

External debt, the country's borrowing from foreign lenders, increased from USD 25.9 billion in 2022 to USD 35.6 billion by Q1 2025. It now makes up about 84–85% of total government debt, highlighting the importance of external financing for large infrastructure projects and budget support. Gross external debt refers to the amount owed to non-residents — governments, international organizations, and foreign banks — and must be repaid in foreign currency.

Domestic debt, which the government owes to local lenders such as banks and institutional investors, also grew significantly — from USD 3.3 billion in 2022 to USD 6.9 billion in Q1 2025. This rise shows increasing reliance on local bond markets to diversify funding. Domestic debt is internal borrowing and does not rely on foreign currency, reducing exposure to exchange-rate risk.

Over these three years, government debt jumped by over 45%, driven largely by external obligations. However, despite the rapid growth, this level remains manageable. Official estimates and independent assessments classify Uzbekistan's external debt risk as low, supported by solid foreign reserves and favorable borrowing terms.

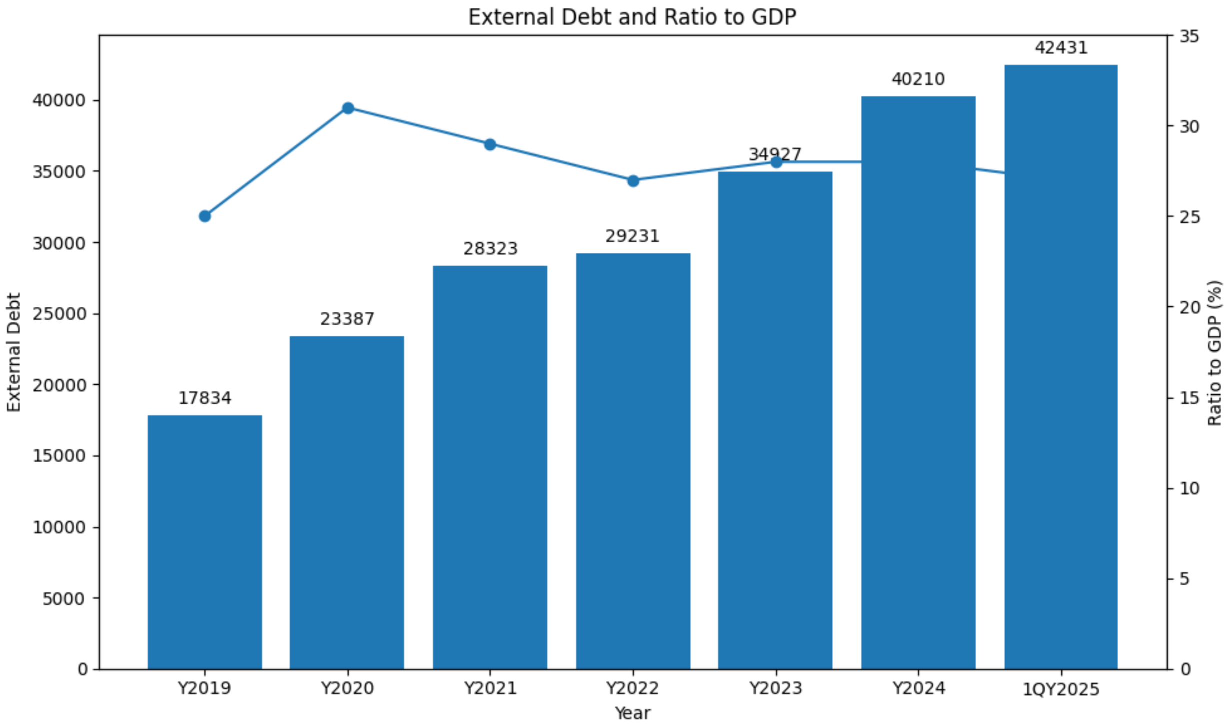

Figure 2. Government debt & Its ratio of GDP (USD million)

Between 2019 and Q1 2025, Uzbekistan's government debt rose steadily—from USD 17.8 billion to USD 42.4 billion. Over the same period, the government debt-to-GDP ratio increased from 23% in 2019 to a peak of 32% in 2020, then stabilized around 29–30%, slightly falling to 28% by Q1 2025.

Overall, government debt has doubled, but the country's growing economy has helped keep it manageable. By 2025, the decline in the debt-to-GDP ratio shows Uzbekistan's strong economic growth, even with higher borrowing.

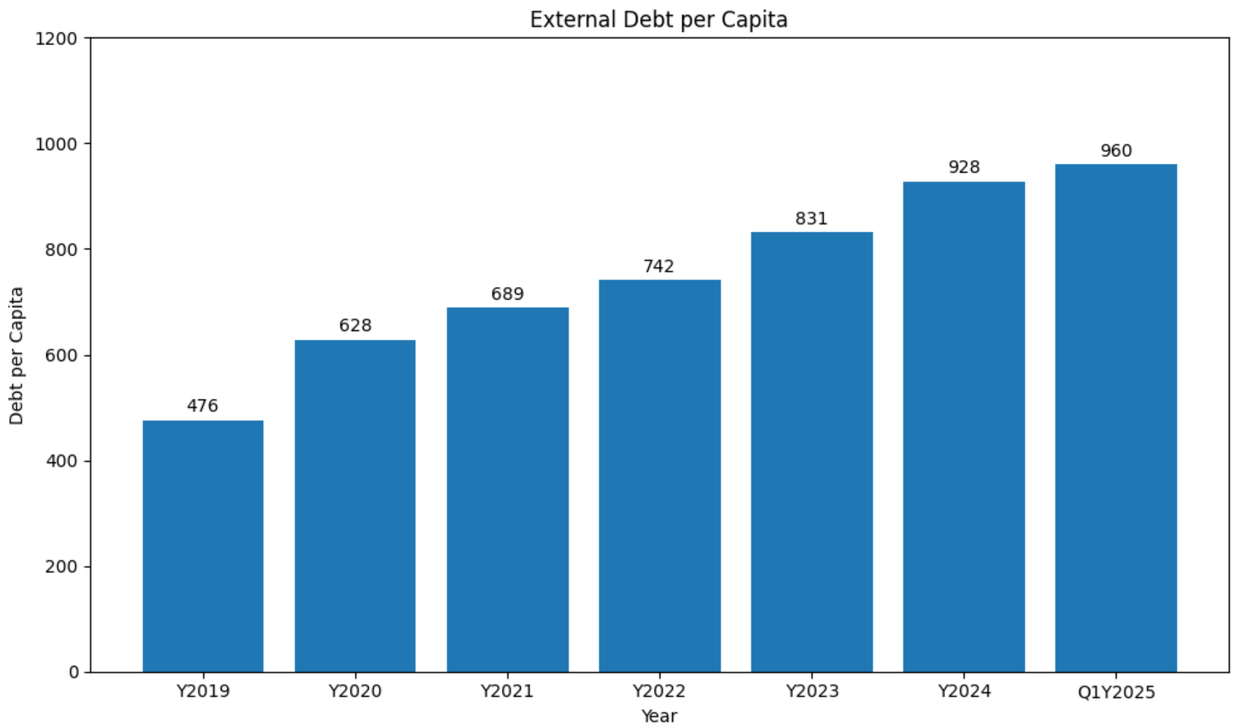

Figure 3. Government debt per capita, in USD

From 2019 to Q1 2025, Uzbekistan's government debt per capita more than doubled — rising from USD 475 to nearly USD 960. This steady increase reflects that total government debt has grown significantly faster than the population over the past six years (*Figure 3*).

4. RESEARCH METHODOLOGY

The study concludes that Uzbekistan's external public debt remains sustainable under current economic conditions. The stable debt-to-GDP ratio, growing reserves, diversified creditor base, and improved institutional frameworks support this assessment.

However, three structural risks remain:

1.High foreign currency exposure,

2.Rising debt servicing costs,

3.Dependence on external financing for fiscal support.

To ensure long-term sustainability, Uzbekistan should:

- Expand local currency borrowing,
- Strengthen public investment efficiency,
- Maintain fiscal consolidation,
- Diversify export structure,
- Continue structural reforms.

If these measures are sustained, Uzbekistan is positioned to maintain macroeconomic stability and potentially transition toward investment-grade status in the medium term.

RESEARCH METHODOLOGY

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